

THE WALL STREET JOURNAL.

DOW JONES | News Corp *****

THURSDAY, APRIL 17, 2025 ~ VOL. CCLXXXV NO. 89

WSJ.com

★★★★ \$5.00

DJIA 39669.39 ▼ 699.57 1.73% NASDAQ 16307.16 ▼ 3.1% STOXX 600 507.09 ▼ 0.2% 10-YR. TREAS. ▲ 12/32, yield 4.276% OIL \$62.47 ▲ \$1.14 GOLD \$3,326.60 ▲ \$107.90 EURO \$1.1400 YEN 141.88

What's News

Business & Finance

◆ **Fed Chair Jerome Powell** warned that the central bank could face difficult trade-offs in trying to cushion the U.S. economy from the fallout of Trump's trade war. **A2**

◆ **Flagship semiconductor** stocks were among the biggest losers in a down session that ended a brief calm in the U.S. market. The S&P 500, Nasdaq and Dow shed 2.2%, 3.1% and 1.7%, respectively. **B1**

◆ **ASML reported** weaker-than-expected orders for its chip-making machines in the first quarter and acknowledged tariff-induced uncertainty in the industry. **B1**

◆ **The U.S. dollar resumed** its rapid weakening, hitting fresh lows against the euro, the British pound, the yen and the Swiss franc. **A1**

◆ **Shares of Hertz surged** after hedge-fund manager Bill Ackman's firm disclosed a significant stake in the rental-car company. **B1**

◆ **Google faces a potential** \$6.62 billion lawsuit in the U.K. that claims it abused its dominance and overcharged companies for search-advertising services. **B1**

◆ **The Trump administration's** tariff actions on imports of aluminum will likely result in a \$100 million annual headwind for Alcoa, CEO William Oplinger said. **B3**

◆ **Brewer Heineken reported** quarterly organic revenue growth of 0.9%, a result that beat market expectations. **B2**

◆ **The billionaires behind the** MSC shipping empire are discussing carving out two Panama ports from their \$22.8 billion deal to buy dozens of ports from CK Hutchison. **A7**

World-Wide

◆ **A judge said he had** found probable cause to hold Trump officials in criminal contempt for willfully disregarding an order barring the removal of Venezuelan migrants from the country and said the government must act quickly to avoid possible prosecution. **A1**

◆ **A former top Trump** administration official targeted with a federal investigation said he would fight back against what he called an unprecedented campaign by the government to punish dissent. **A3**

◆ **Harvard University** scientists face the prospect of laying off staff, euthanizing research animals and bringing yearslong science projects to a halt as a freeze on federal funds looms. **A5**

◆ **The Trump administration** has asked the IRS to start the process of revoking Harvard's tax-exempt status. **A5**

◆ **Rep. Elise Stefanik**, a close Trump ally, is considering a run for New York governor. **A3**

◆ **Italy's Prime Minister** Giorgia Meloni was set to negotiate with Trump on trade in a test of whether their ideological affinity can secure favorable treatment for her country and the EU. **A9**

◆ **The Bank of Canada** held interest rates steady, saying it needed time to determine the eventual breadth and severity of U.S. tariffs and their impact on inflation. **A9**

◆ **The man charged with** setting the Pennsylvania governor's mansion on fire said he did so in defense of Palestinians. **A3**

◆ **An American pastor** kidnapped in South Africa was freed after three of his abductors exchanged gunfire with rescuers and were killed. **A9**

◆ **IRS is asked to revoke** university's tax status... **A5**

◆ **Harvard research projects** hit by funding cuts..... **A5**

◆ **Xi aims to bolster global** trade alliances..... **A9**

◆ **Dow industrials sink** 700 points..... **B1**

◆ **AI can't predict impact** of tariffs—but it will try..... **B4**

◆ **Heard on the Street: Nvidia** is big bargaining chip....**B10**

Weak Dollar Poses Global Risk

Currency's slide to hit exporters, raise pressure on central banks to cut rates

By CHELSEY DULANEY AND ALISTAIR MACDONALD

The unexpected weakening of the dollar is suddenly becoming the rest of the world's problem.

For foreign sellers of all manner of goods, including cars, cognac and Scottish tweed, the dollar's steep slide is a double whammy, compounding losses caused by

President Trump's import levies. For central banks around the world, the rapid strengthening of their own currencies heaps pressure to cut interest rates more aggressively.

The U.S. currency resumed its rapid weakening Wednesday, hitting fresh lows against the euro, Japanese yen and Swiss franc. The dollar decline has been historic, with the ICE U.S. Dollar Index, a measure of the greenback against a basket of currencies, slipping 8% this year, the worst start to a year in the index's four-decade trading history.

Wednesday's dollar decline came as Federal Reserve Chair

Jerome Powell warned in a speech in Chicago that tariffs "are highly likely to generate at least a temporary rise in inflation," and that the central bank doesn't need to rush to lower interest rates in the short run.

Because of its role as the primary currency used for global trade and finance, swings in the dollar have significant global consequences.

"For exporters, you're not

Please turn to page A2

◆ **Greg Ip: Fed independence** at stake in case..... **A2**

◆ **Powell warns of tariffs'** impact on economy.....**A2**

ICE U.S. Dollar index* this year



*A measure of the dollar against a basket of currencies
Source: FactSet

Judge Eyes Criminal Contempt For Trump Officials

Court finds probable cause that aides willfully disregarded order on deportation

By MARIAH TIMMS AND JACOB GERSHMAN

A federal judge said Wednesday that he had found probable cause to hold Trump officials in criminal contempt for willfully disregarding an order barring the removal of Venezuelan migrants from the country.

U.S. District Judge James Boasberg in Washington said in an order that the government must act quickly to avoid possible prosecution, including potentially seeking custody of the migrants sent to a notorious prison in El Salvador. The order escalated a clash about how much power the courts have to rein in White House policies, as Trump's swift deportation drive has put the administration on increasingly precarious legal terrain.

The dispute centers on an emergency hearing Boasberg convened March 15 in a case challenging the administration's use of a wartime law to deport dozens of alleged members of Tren de Aragua, a violent Venezuelan gang.

President Trump signed the proclamation invoking the Alien Enemies Act on a Friday and deportations began that Saturday morning. Lawyers for a group of immigrants bringing the challenge had asked Boasberg to halt the deportation flights immediately.

During the March 15 hearing, Boasberg said planes that had taken off or were in the air should be returned to the U.S. immediately. About 30 minutes later, he formalized his restraining order in writing—but didn't explicitly mention turning around flights. The flights landed in El Salvador later that evening.

Trump administration lawyers have argued the written order supersedes Boasberg's oral order and dispute claims that they deliberately disobeyed him.

The Supreme Court later dissolved Boasberg's order in a narrow ruling, finding the challenges should have been brought in the judicial districts where the deportees had

Please turn to page A4

◆ **El Salvador to double size of** prison holding deportees... **A4**



DECISION DAY: Members of the For Women Scotland group celebrate Wednesday in London after the U.K. Supreme Court said only those born female can be considered women, after a yearslong battle over protections for women and female-only spaces. **A7**

The Tactics Elon Musk Uses to Manage His 'Legion' of Babies—and Their Mothers

Musk juggles children and 'harem drama' along with his companies and advising Trump



Ashley St. Clair and her baby

By DANA MATTIOLI

Ashley St. Clair wanted to prove that Elon Musk was the father of her newborn baby.

But to ask the billionaire to take a paternity test, the right-wing social-media influencer had to go through Musk's longtime fixer, Jared Birchall.

"I don't want my son to feel like he's a secret," St. Clair told Birchall in a two-hour phone call in December.

Birchall offered St. Clair some advice. His boss was a "very big-hearted, kind and generous person," he said. But Musk had a different side. When a mother of his child goes "the legal route" in these discussions, "that always, always leads to a worse outcome for that woman than what it would have been otherwise," Birchall told the 26-year-old. Plus, he said, Musk wasn't sure the child was his.

It wasn't the first such conversation for Birchall. His public job is running Musk's family office, and he recently helped organize Musk's more than \$250 million push in support of Donald Trump's election. Behind the scenes, Birchall also manages the financial and privacy deals Musk wants for the women raising the world's richest man's babies.

Musk has had at least 14 children with four women, including pop musician Grimes and Shvonn Zilis, an executive at his brain computer company Neuralink. Multiple sources close to the tech entrepreneur said they believe the true number of Musk's children is much higher.

Musk offered St. Clair \$15 million and

Please turn to page A10

Inside Harvard's Strategy To Fight

Harvard University has drawn a line in the sand against the Trump administration and its sweeping demands for cultural change. Now it is counting on its peer institutions for backup.

By Douglas Belkin, Meredith McGraw, Erin Mulvaney and Sara Randazzo

In Washington, Republicans said the nation's wealthiest and oldest university has just made a serious error in judgment and is about to learn the cost of crossing President Trump.

The collision between the president and the U.S.'s most iconic university had barely

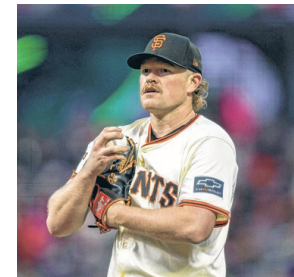
Please turn to page A5

INSIDE



U.S. NEWS

The White House has become the gold house under Trump's second term. **A4**



SPORTS

With elbow injuries surging, the Giants try a counterintuitive pitching strategy. **A14**

Porsche Heir Wants a Tunnel But the Neighbors Don't Dig It

Plan for underground cave to tycoon's villa is stoking a class war in ritzy Alpine town

By STEPHEN WILMOT

For the 1920s literary celebrity Stefan Zweig, part of the charm of his "romantic and impractical" Salzburg home was that it sat on an Alpine

foothill "inaccessible by car."

For automotive tycoon Wolfgang Porsche, who bought the 17th-century villa for roughly \$9 million in 2020, the lack of easy access is an

Please turn to page A12

U.S. Tries to Crush China's AI Ambitions With Chip Crackdown

By LIZA LIN AND AMRITH RAMKUMAR

New U.S. chip-export limits that rocked global markets Wednesday are the clearest sign yet from the Trump White House that whatever advances China makes in AI will have to happen without the U.S.'s help.

Trump administration officials have signaled for months that they were considering a crackdown on exports of processors from U.S. companies such as Nvidia that have helped enable major Chinese advances in artificial intelligence. The latest reckoning came this week, with U.S. authorities moving to stop the flow of billions of dollars worth of Nvidia and Advanced Micro Devices artificial intelligence chips to the country.

The move, spurred in part by Chinese AI startup DeepSeek's surprising success in building powerful models with less computing power, put an end to

Nvidia's ability to skirt U.S. constraints on sales by tweaking its chips. While the changes impact a relatively small portion of the companies' business, they squash any hopes of unimpeded future chip sales to China.

Nvidia shares tumbled nearly 7% Wednesday, along with fellow chip company AMD. The broader stock market also sagged on news that any hope of a reprieve from the highest "reciprocal tariffs" imposed on Chinese exports was short-lived.

The new restrictions, which impact Nvidia's H20 chips and AMD's MI308 products, capped a roughly two-week blitz that created market whiplash and

Please turn to page A4

◆ **Xi aims to bolster global** trade alliances..... **A9**

◆ **Dow industrials sink** 700 points..... **B1**

◆ **AI can't predict impact** of tariffs—but it will try..... **B4**

◆ **Heard on the Street: Nvidia** is big bargaining chip....**B10**



© 2025 Dow Jones & Company, Inc. All Rights Reserved